

Expense Categorization Guide

Quick Reference with IRS Category Mappings

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Correctly categorizing expenses ensures clean books, accurate tax filings, and maximized deductions. This guide maps common business expenses to their proper categories and IRS Schedule C lines.

Office & Administration

Office Supplies

Pens, paper, printer ink, postage

IRS: Schedule C, Line 18

Software Subscriptions

QuickBooks, Zoom, Slack, project tools

IRS: Schedule C, Line 18 or 27a

Phone & Internet

Business phone line, internet service

IRS: Schedule C, Line 25

Postage & Shipping

USPS, FedEx, UPS for business

IRS: Schedule C, Line 18

Professional Services

Accounting & Bookkeeping

Tax prep, monthly bookkeeping fees

IRS: Schedule C, Line 17

Legal Fees

Business formation, contracts, counsel

IRS: Schedule C, Line 17

Consulting

Business advisors, coaches

IRS: Schedule C, Line 11

Marketing & Sales

Advertising

Google Ads, Facebook Ads, print ads

IRS: Schedule C, Line 8

Website Hosting

Domain, hosting, SSL certificates

IRS: Schedule C, Line 8

Business Cards & Branding

Cards, brochures, logo design

IRS: Schedule C, Line 8

Travel & Meals

Business Travel

Airfare, hotel, rental car for business

IRS: Schedule C, Line 24a

Business Meals

Client meals, team meals (50% deductible)

IRS: Schedule C, Line 24b

Vehicle (Actual)

Gas, maintenance, insurance for biz use

IRS: Schedule C, Line 9

Vehicle (Standard Mileage)

IRS rate × business miles driven

IRS: Schedule C, Line 9

Insurance

General Liability

Business liability insurance premiums

IRS: Schedule C, Line 15

Professional Liability (E&O)

Errors & omissions coverage

IRS: Schedule C, Line 15

Health Insurance (Self-Employed)

Premiums for owner

IRS: Form 1040, Line 17

Payroll & Contractors

Wages & Salaries

Employee compensation

IRS: Schedule C, Line 26

Payroll Taxes

Employer FICA, FUTA, SUTA

IRS: Schedule C, Line 23

Contract Labor

1099 independent contractors

IRS: Schedule C, Line 11

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